Improvement Fund, General Fund County Improvements Fund (major governmental funds), and Library District Capital Improvement Fund (nonmajor governmental fund), which are anticipated to be partially financed by long-term debt and through transfers from the General Fund and Library District Fund, respectively. At June 30, 2025, the County had spent $418,968,014 on these projects and had related estimated cost of completion based on the project budgets of $310,075,103, of which not all projects may be completed.

NOTE 12 – LONG-TERM LIABILITIES

The following schedule details the County's long-term liability and obligation activity for the year ended June 30, 2025.

	Balance July 1, 2024	Additions	Reductions	Balance June 30, 2025	Due Within One Year
Governmental activities:					
Bonds, certificates of participation (COP), and other payables:					
COP, direct placement	$ 190,450,000	$	$ 45,000,000	$ 145,450,000	$ 71,100,000
COP	16,900,000		16,900,000		
PRO, direct placement		180,000,000		180,000,000	180,000,000
Financed purchases	23,719,325	15,241,638	17,824,516	21,136,447	5,894,809
Compensated absences payable [1 2]	92,986,295		1,034,502	91,951,793	56,891,679
Leases payable	42,792,910	15,804,480	12,402,271	46,195,119	6,570,050
Subscriptions liability	99,772,888	21,814,696	29,473,097	92,114,487	29,641,502
Total bonds, COP, and other payables	466,621,418	232,860,814	122,634,386	576,847,846	350,098,040
Other liabilities:					
Reported and incurred but not reported claims	83,405,070	223,840,135	231,399,120	75,846,085	34,943,858
Liability for closure and postclosure costs	5,890,078		453,126	5,436,952	595,546
Net pension and other postemployment benefits liability	1,568,730,930	65,441,185	278,516,196	1,355,655,919	
Total other liabilities	1,658,026,078	289,281,320	510,368,442	1,436,938,956	35,539,404
Governmental activities long-term liabilities	$ 2,124,647,496	$ 522,142,134	$ 633,002,828	$ 2,013,786,802	$ 385,637,444

(1) The reductions in compensated absences payable are presented as a net change.
(2) Beginning July 1, 2024, Maricopa County revised the method used to estimate compensated absences payable due within 1 year. See Note 1 – Summary of Significant Accounting Policies for more information

The County also has an unused revolving line of credit in the amount of $35,000,000. See Note 14 – Line of Credit for more information.

Certificates of Participation

On June 12, 2024, Maricopa County issued $190,450,000 of Certificates of Participation, Series 2024, direct placement, to pay for various capital projects. The two largest projects are the Downtown Office and Election Facility and the Southeast Juvenile Facility Remodel. The certificates have an interest rate of 4.17 percent, payable semiannually on August 1 and February 1 of each year, commencing on August 1, 2025, through 2026. These certificates are secured by the collateralization of the South Court Tower. The certificates are not callable prior to their scheduled maturity dates.

The County's outstanding Certificates of Participation, direct placement, of $145,450,000, contain provisions that in an event of default, the trustee may at its option elect to terminate the lease, take possession of the leased property, and/or sell, convey, re-rent or re-let the leased property. The County's Certificates of Participation also contain a subjective acceleration clause that in an event of default allows

D. Long-Term Liabilities

The following is a summary of the changes in noncurrent liabilities for the year ended June 30, 2025 for HAMC:

	Balance July 1, 2024	Additions	Reductions	Balance June 30, 2025	Due Within One Year
Loans and other payables:					
Loans payable	$ 57,038,343	$ 21,711,398	$ 17,771,499	$ 60,978,242	$ 12,118,654
Subscriptions	547,037		120,507	426,530	86,826
Other noncurrent liabilities	3,002,376	887,716		3,890,092	101,315
Net pension liabilities	2,909,424	330,881		3,240,305	
Total noncurrent liabilities	$ 63,497,180	$ 22,929,995	$ 17,892,006	$ 68,535,169	$ 12,306,795

As part of the change in compensated absences related to the implementation of GASB Statement 101, increases and decreases are reported net in the schedule above.

The Authority executed a repayment agreement in 2015 with HUD totaling $468,781 to repay HCV HAP funds as determined by a HUD Quality Assurance Division review. The agreement bears no interest and will call for equal quarterly payments over a period of 25 years from nonfederal sources of $4,687 commencing January 1, 2016. The outstanding balance was $290,644 as of June 30, 2025, which is included in accounts payable - HUD on the accompanying statement of net position.

The Authority executed a repayment agreement in 2025 with HUD totaling $784,503 to repay EHV HAP Funds, EHV Admin Fees, and EHV Incentive Fees as determined by a HUD Quality Assurance Division review. The agreement bears no interest and will call for repayment on September 1, 2025. The outstanding balance was $784,503 as of June 30, 2025, which is included in accounts payable - HUD on the accompanying statement of net position. On August 7, 2025, the Authority repaid HUD in the amount totaling $784,503.

The following is a summary of loans payable for HAMC as of June 30, 2025:

During 2017, HAMC executed a promissory note with FirstBank in the amount of $3,880,841 to assist in the renovation of Casa Bonitas. The loan carries an interest rate of 5.40% per annum, payable in monthly interest only payments through May 2019, at which time the loan converted to permanent financing. Monthly payments of principal and interest in the amount of $20,790 are due until maturity in November 2035. The loan is collateralized by the real estate	$ 3,603,020
During 2003, the Authority executed a promissory note payable to Community Service of Arizona, Inc., for the Maricopa Revitalization property with an original amount of $570,000. The note bears interest at 0.50% per annum commencing on the payment due date as defined in the note agreement. The outstanding loan balance shall be paid at the earlier of the date of sale of the property; breach of covenant, condition or restriction; or 15 years after the date of the project completion, December 31, 2033. Payments are contingent on positive cash flow of the Partnership. The loan is collateralized by the real estate.	570,000
During 2017, the Authority executed a promissory note payable to Maricopa County in the original amount of $450,000. The note bears interest at 2.00% per annum. The note is to be repaid in annual installments of $31,486 beginning in 2020 and subject to net cash flow as defined in the agreement. All principal and interest outstanding is due no later than the 17th year following project completion, estimated at January 2036. The loan is collateralized by the real estate.	450,000
On June 27, 2018, the Authority entered into a promissory note payable to the City of Tempe in the amount of $500,000. The note bears no interest and is to be repaid in full on June 27, 2038. The loan is collateralized by the real estate.	500,000
During 2020, the Authority executed a promissory note payable to One Mortgage Partners Corp in the original amount of $900,000. The note bears no interest and is to be repaid in full on December 18, 2035. The loan is collateralized by the real estate.	900,000
Permanent loan payable to CDT II, LLC in the original amount of$1,410,540. The permanent loan requires monthly principal and interest payments of $8,294 with interest at 5.82%. The loan matures on October	1,266,126